

TENTATIVE RULINGS

Date: May 28, 2026

#	Case Name	Tentative
1.	30-2025-01503670 Truong vs. Dong	1. Case Management Conference 2. Demurrer to Amended Complaint Defendant Minh Trang Dong (“Defendant”) demurs to all seven causes of action in Plaintiff Manh Van Truong’s (“Plaintiff”) First Amended Complaint (“FAC”). Based on applicable law, the demurrer is SUSTAINED in part with leave to amend and OVERRULED in part, as set forth below. As a preliminary matter, Defendant demurs to all causes of action on the grounds that they are barred by Business and Professions Code §7031 because Plaintiff is attempting to collect compensation for acts that require a contractor’s license, which Plaintiff does not have. Section 7031 prohibits such actions. Business and Professions Code §7026 defines a “contractor” as being synonymous with “builder” and “is any person who undertakes to or offers to undertake to, or purports to have the capacity to undertake to, or submits a bid to, or does himself or herself or by or through others, construct, alter, repair, add to, subtract from, improve, move, wreck or demolish any building . . .” (Bus. & Prof. Code §7026.) Whether work falls within the scope of section 7031 involves a factual inquiry. Where an individual was determined to have only provided construction management services to a private property owner, Courts have held that the action was not barred by section 7031. (See <i>The Fifth Day, LLC v. Bolotin</i> (2009) 172 Cal.App.4th 939.) In finding the plaintiff’s claims were not barred by section 7031, the <i>Fifth Day</i> Court noted that “Plaintiff had no responsibility or authority to perform any construction work on the project, or to enter into any contract or subcontract for the performance of such work.” (<i>Id.</i> at p. 948.) Similarly, here, Plaintiff has alleged that his role was as a consultant assisting the homeowner in managing the project under California’s homeowner-builder exemption, with the homeowner acting as general contractors and directly hiring subcontractors; his role was “limited to consultation, guidance and providing access to his network of subcontractors; Defendant herself managed and paid all subcontractors.” (FAC ¶ 4.) These allegations are sufficient at the pleading stage to support a finding that section 7031 does not apply to Plaintiff’s claims. <u>First Cause of Action for Breach of Oral Agreement</u> “The elements of a breach of contract claim are: ‘(1) the existence of the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) the resulting damages to the plaintiff.’” (<i>Salami v. Los Robles Regional Medical Center</i> (2024) 103 Cal.App.5th 1023, 1027.) Defendant contends that Plaintiff has not adequately alleged the terms of a contract. However, Plaintiff has sufficiently pled that the parties entered into an oral agreement in March 2024,

whereby Defendant would pay Plaintiff \$100,000 for Plaintiff to provide consultation, guidance and subcontractor contacts to assist Plaintiff in building an ADU on her property. (FAC ¶¶ 2, 6.) In May 2024, after Defendant pled financial hardship, Plaintiff agreed to reduce his fee to \$40,000. (FAC ¶ 8.) Plaintiff alleges he fully performed his part of the agreement, and Plaintiff was able to complete her ADU “for under \$200,000, saving Defendant more than \$100,000.” (FAC ¶ 11.)

These allegations are sufficient to state a breach of contract cause of action. Plaintiff has alleged he provided valuable services that saved Defendant more than \$100,000 in construction of her ADU.

The demurrer to the first cause of action is **OVERRULED**.

Second and Sixth Causes of Action for Fraud and Identity Theft

To plead a fraud-based cause of action, the following elements must be alleged: (1) misrepresentation (false representation or concealment); (2) knowledge of falsity; (3) intent to deceive; (4) justifiable reliance; and (5) resulting damage. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638; *Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951.)

For causes of action for intentional and negligent misrepresentation, each element must be pled with specificity. (*Lazar, supra*, 12 Cal.4th at p. 645.) The particularity requirement necessitates pleading facts that show how, when, where, to whom, and by what means the representations were tendered. (*Ibid.*)

As to the second and sixth causes of action, Defendant contends that Plaintiff has not pled a misrepresentation apart from the breach of contract, and that the allegations have not been pled with sufficient specificity.

Plaintiff’s conclusory allegations that “Defendant knowingly misrepresented financial hardship to induce Plaintiff to reduce compensation to \$40,000, despite ability to pay” are not sufficient to meet the heightened pleading requirements for a fraud cause of action. (FAC ¶ 19.) Neither is Plaintiff’s conclusory allegation that “Defendant used Plaintiffs business information, including his Home Depot Pro account, without consent, to obtain discounts on materials.” (FAC ¶ 17.)

The demurrers to the second and sixth causes of action are **SUSTAINED with 20 days leave to amend**.

Third Cause of Action for Unjust Enrichment

While there is a split in authority as to whether “unjust enrichment” is the technically correct label, California authority has recognized that “[c]ommon law principles of restitution require a party to return a benefit when the retention of such benefit would unjustly enrich the recipient.” (*Munoz v. MacMillan* (2011) 195 Cal.App.4th 648, 661.) “ ‘Whether termed unjust enrichment, quasi-contract, or quantum meruit, the equitable remedy of restitution when unjust enrichment has occurred “is an obligation (not a true contract [citation]) created by the law without regard to the intention of the parties, and is designed to restore the aggrieved party to his or her former position by return of the thing or its equivalent in money.” ’ ” (*Ibid.*; see also *Levine v. Blue Shield of California* (2010) 189 Cal.App.4th 1117, 1138 [Fourth District, Division 1]; *Hooked Media Grp., Inc. v. Apple Inc.* (2020) 55 Cal.App.5th 323, 336 [Sixth District] (no cause of action in California for unjust enrichment) and compare with *Peterseon v. Cellco Partnership* (2008) 164 Cal.App.4th 1583, 1593 [Fourth District, Division 3]; *Professional Tax Appeal v.*

Kennedy-Wilson Holdings, Inc. (2018)) 29 Cal.App.5th 230, 238 [Second District, Division 8] (setting forth elements of unjust enrichment claim).)

“The elements of a cause of action for unjust enrichment are simply stated as ‘receipt of a benefit and unjust retention of the benefit at the expense of another.’ ” (*Professional Tax Appeal v. Kennedy-Wilson Holdings, Inc.* (2018) 29 Cal.App.5th 230, 238.)

While it is unsettled whether Plaintiff has used the correct label for this cause of action, the FAC sufficiently alleges that Defendant received the benefit of Plaintiff’s services and unjustly retained the benefit. (FAC ¶¶ 9, 11, 20.)

The demurrer to the third cause of action is **OVERRULED**.

Fourth Cause of Action for Promissory Estoppel

The elements of a promissory estoppel claim are (1) a promise clear and unambiguous in its terms; (2) reliance by the party to whom the promise is made; (3) the reliance must be both reasonable and foreseeable; and (4) the party asserting the estoppel must be injured by his reliance. (*Wells Fargo Bank, Na. v. FSI, Financial Solutions, Inc.* (2011) 196 Cal.App.4th 1559, 1573.)

Defendant contends that Plaintiff has not alleged a clear and unambiguous promise. For the reasons discussed above in connection with Plaintiff’s first cause of action for breach of oral contract, Plaintiff has sufficiently pled a promise, upon which he relied and was injured. (See also, FAC ¶ 21.)

The demurrer to the fourth cause of action is **OVERRULED**.

Fifth Cause of Action for Defamation

“The elements of a defamation claim are (1) a publication that is (2) false, (3) defamatory, (4) unprivileged, and (5) has a natural tendency to injure or cause special damage.” (*Bui v. Ngo* (2024) 101 Cal.App.5th 1061, 1072 [internal quotations omitted].)

Here, the FAC alleges that “Defendant made false and unprivileged statements of fact about Plaintiff, including that he was a fraud, a cheater, an unlicensed contractor, and that he charged Defendant more than \$300,000” and that “multiple friends, associates, and contractors reported to Plaintiff that Defendant made such statements. These reports were consistent, credible, and widely repeated in the Vietnamese American community.” (FAC ¶¶ 22-23.)

The FAC further alleges that “Plaintiff is a well known member of the local Vietnamese American community, as the owner of a large home improvement center that primarily serves Vietnamese customers. Defendant and her husband are well known singers with large audiences. Defendant’s statements carried particular weight, spread rapidly, and caused extreme harm to Plaintiff’s reputation, business, and emotional well being.” (FAC ¶ 24.)

These allegations are sufficient to state a cause of action for defamation against Defendant.

Accordingly, the demurrer to the fifth cause of action is **OVERRULED**.

Seventh Cause of Action for Foreclosure of Mechanic’s Lien

California Civil Code § 8400 specifically enumerates the persons entitled to a mechanic’s lien, including direct contractors, subcontractors, material suppliers, equipment lessors, laborers, and

		design professionals. Cal Civ Code § 8400. Plaintiff has not alleged that he is a contractor, subcontractor, or material supplier as required by statute. Rather, the allegations of the FAC suggest that Plaintiff does not fall into any of the above categories. Accordingly, the demurer to the seventh cause of action is SUSTAINED with 20 days leave to amend. Defendant to give notice.
2.	30-2024-01416147 George vs. Laguna Hills Health and Rehabilitation Center	1. Case Management Conference 2. Motion to Compel Arbitration Defendants’ AG Laguna Hills LLC dba Laguna Hills Health and Rehabilitation Center (erroneously sued as Laguna Hills Health and Rehabilitation Center; AG Laguna Hills, LLC) (“AG Laguna Hills”) and Cambridge Healthcare Services LLC (“Cambridge”) (collectively, “Moving Defendants”) petition for an order compelling Plaintiffs to arbitrate the controversy alleged in the First Amended Complaint to stay the instant action. Based on applicable law, the Petition is GRANTED, in part, DENIED, in part as follows. <i>Overage in Reply</i> A reply memorandum may not exceed 10 pages. (California Rules of Court, rule 3.1113(d).) “A memorandum that exceeds the page limits of these rules must be filed and considered in the same manner as a late filed paper.” (California Rules of Court, rule 3.1113(g).) While a paper may not be rejected for filing on the ground that it was untimely submitted for filing, the court, in its discretion, may refuse to consider a late filed paper. (California Rules of Court, rule 3.1300(d).) If the court does so, the minutes or order must so indicate. (<i>Ibid.</i>) The Court notes that the reply is 12 pages long and therefore exceeds the 10-page limit for replies. No permission was granted for an extended reply. However, the Court exercises its discretion to accept and consider the 12-page reply. <i>Existence of Agreement to Arbitrate</i> “ ‘California statutes create a “summary proceeding” for resolving petitions or motions to compel arbitration. [Citation.] “The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. [Citation.] In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court’s discretion, to reach a final determination.” [Citation.]’ [Citation.] (<i>Kader v. Southern California Medical Center, Inc.</i> (2024) 99 Cal.App.5th 214, 220–221.) “Under ‘both federal and state law, <i>the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate.</i>’ [Citation].” (<i>Cruise v. Kroger Co.</i> (2015) 233 Cal.App.4th 390, 396, emphasis in original (“<i>Cruise</i>”).) The court is to determine whether a valid arbitration agreement exists, and if so, whether the agreement encompasses the dispute at issue. (<i>Omar v. Ralphs Grocery Co.</i> (2004) 118 Cal.App.4th 955, 960-961, citing <i>Howsam v. Dean Witter Reynolds, Inc.</i> (2002) 537 U.S. 79, 84; <i>Lifescan, Inc. v. Premier Diabetic Servs., Inc.</i> (9th Cir. 2004) 363 F.3d 1010, 1012.)